Practice workbook · Who gains and who loses from globalisation

The gains and costs of globalisation for different groups: living standards, choice, prices, communication, closure of traditional industries, environmental harm and dependence on world markets.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-02

1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

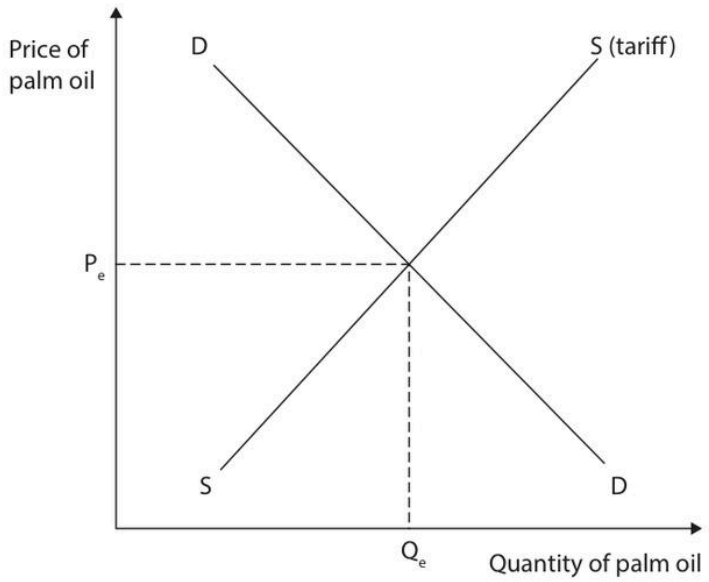


Figure 4

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1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.

Global trade reached a record high of $29 trillion in 2022. It has continued to grow, although at a slower rate since the global health crisis.

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation.

(6)

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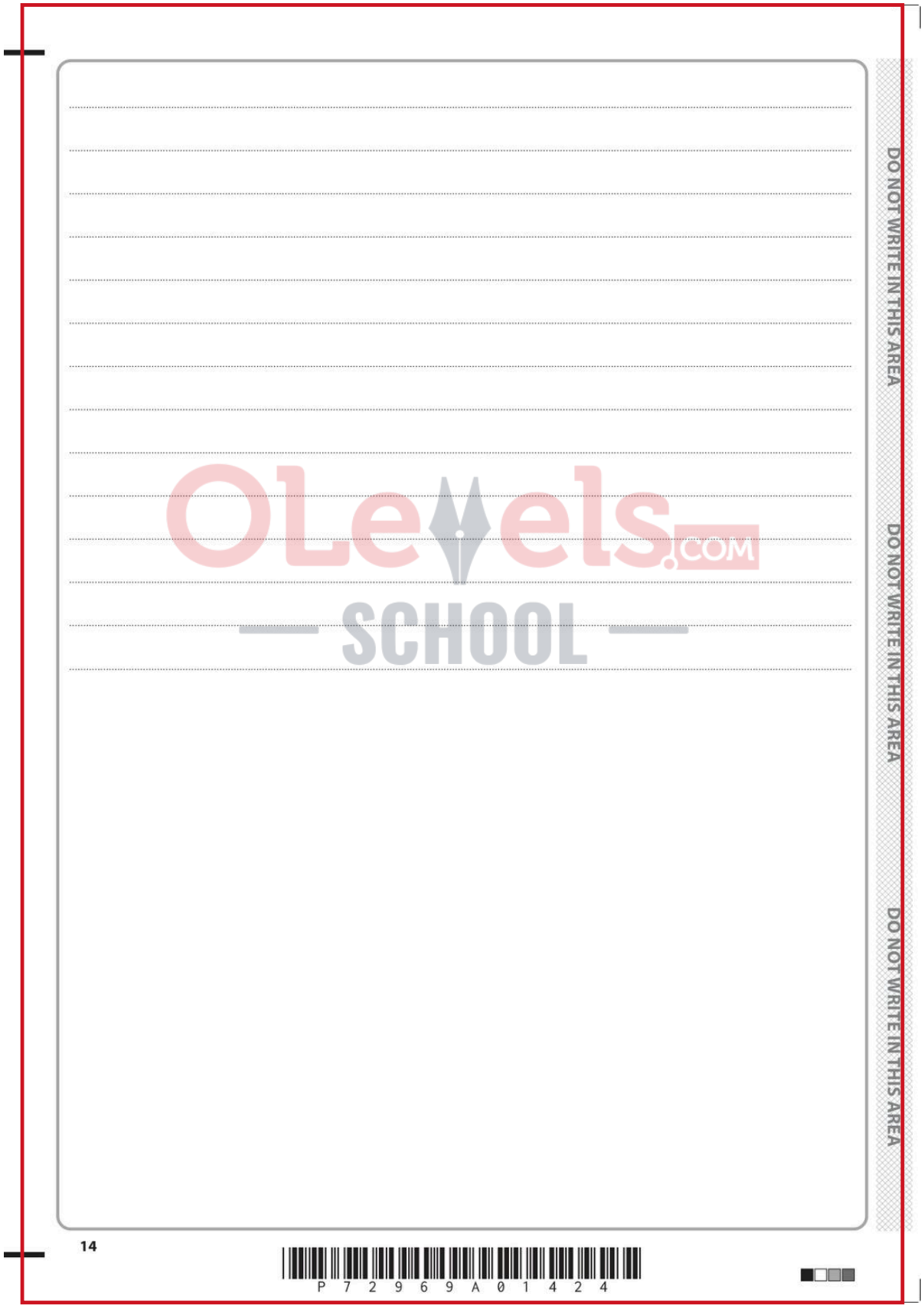
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1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part d only.

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Germany's economy shrank more than expected in the fourth quarter of 2022. This raised doubts over the ability of Europe's biggest economy to avoid a recession and recover quickly from its energy crisis due to high gas and oil prices.

Record inflation rates of 10.4% caused reductions in German consumer spending and business investment in buildings and machinery. This led to a 0.4% decrease in gross domestic product (GDP) from the previous quarter.

The effects will be felt by consumers, workers, firms and the German Government.

(e) With reference to the data above and your knowledge of economics, assess how a recession may affect inflation in a country such as Germany.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

4 Figure 4 shows Kenya's interest rate (%) from January to October 2018.

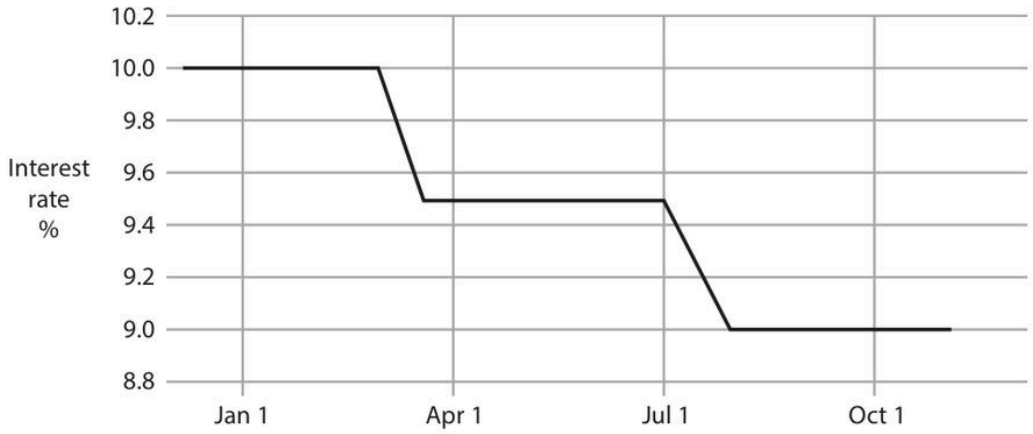


Figure 4

(Source: https://tradingeconomics.com/kenya/interest-rate)

(a) Calculate the **percentage change** in Kenya's interest rate between January and October 2018. You are advised to show your working. **(2)**

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

The annual rate of inflation in Kenya was 5.7% in September 2018 and fell to 5.53% in October 2018.

(b) Analyse how monetary policy could be used to further reduce the rate of inflation in Kenya.

(6)

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2. Question 4 · part c · 12 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

Kenya is the third largest exporter of cut flowers in the world, accounting for 1.3% of its GDP. Kenya's main airport has a terminal dedicated especially to the transport of flowers and vegetables.

The Kenyan flower industry has created many employment opportunities. Around 100,000 people are employed directly on the flower farms and over 500,000 people benefit indirectly from this industry.

Over half of Kenya's 127 flower farms are concentrated around Lake Naivasha due to the large amount of water needed to grow the flowers. Some environmental campaigners have expressed concerns over the impact that the flower industry could have on the lake.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits for Kenya of the globalisation of its flower industry.

(12)

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2. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

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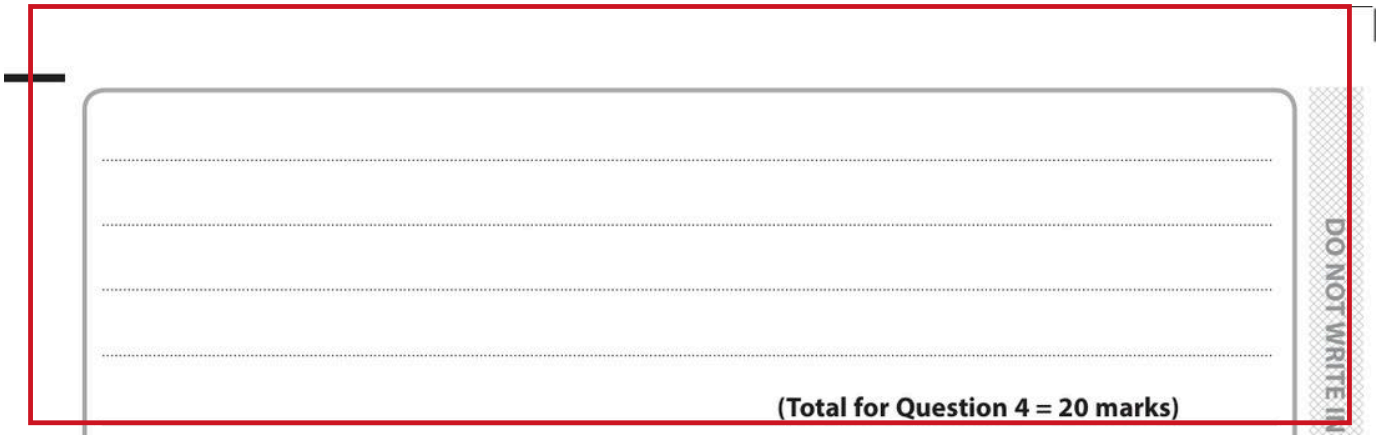
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2. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Cost-push inflation is most likely to result from an increase in **(1)**

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? **(1)**

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. **(3)**

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3. Question 3 · part c · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

In August 2018, Mondelez, a food and beverage multinational corporation (MNC), opened its first factories in Bangladesh. Previously, Mondelez had been exporting its products into Bangladesh for 15 years.

(d) Analyse why a MNC, such as Mondelez, might want to invest in Bangladesh.

(6)

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12

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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4. Question 3 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

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4. Question 3 · part b · 1 mark · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

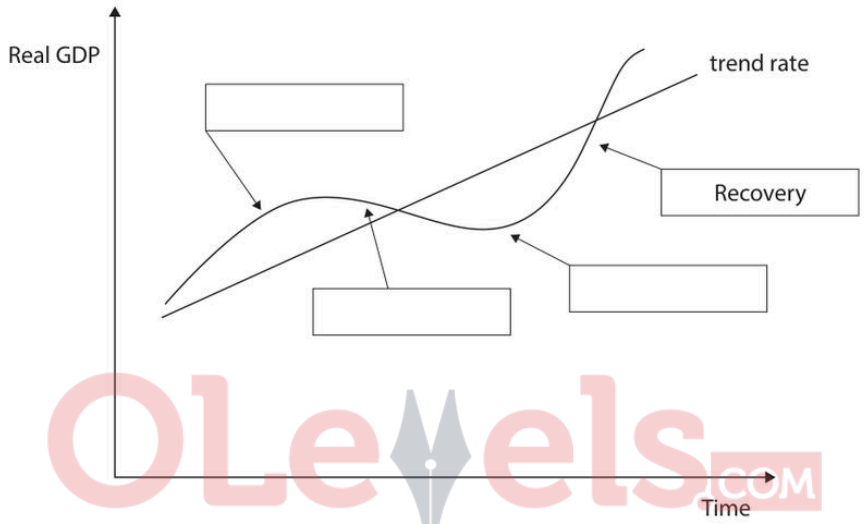


Figure 4

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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The largest manufacturer and exporter of clothing products is China, with 65% of the world's clothing being made there. The second largest country for clothing manufacturing is Bangladesh. Clothing exports make up nearly 85% of Bangladesh's total exports.

(d) With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.

(6)

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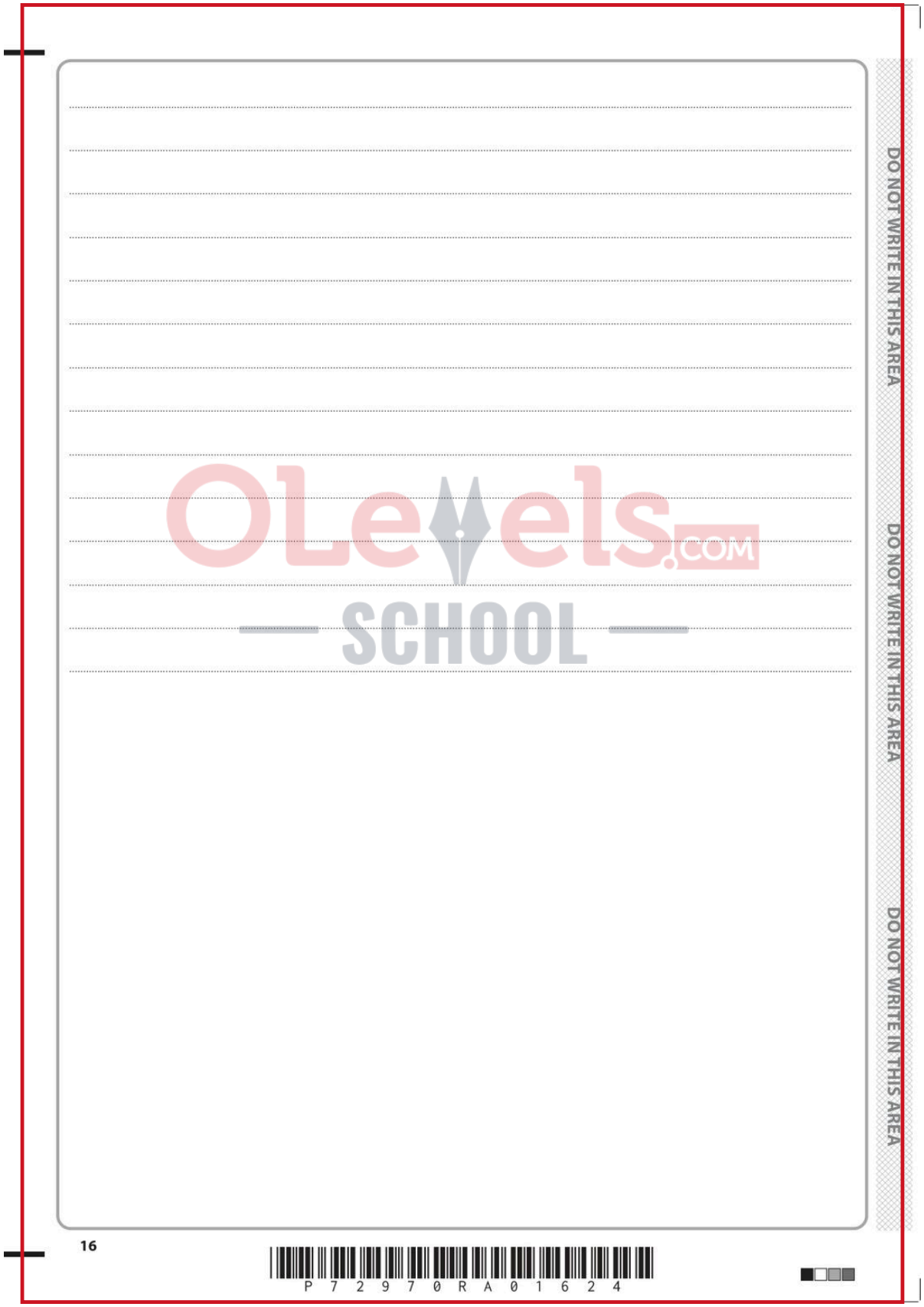
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5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.



5. Question 3 · part d · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Brazilian tyre producers previously had a fall in production caused by an increase in imports. As a result, producers were warning that they might need to stop production, which would result in job losses.

In March 2023, the Brazilian Government put an import tariff on tyres. The tariff on tyres increased from 0% to 16%. A government source said, "The previous government believed in more open trade. The current one has a different view and they think they must protect domestic producers."

(e) With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres.

(9)

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5. Question 3 · part d · 6 marks · Working and answer

Working and answer

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6. Question 2 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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6. Question 2 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part c · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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7. Question 2 · part c · 1 mark · Working and answer

Working and answer

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 Figure 5 shows the population of Ghana and the number of people employed on small cocoa farms in Ghana in 2024.

	2024
Population	34,532,935
Employed on small cocoa farms	867,000

Figure 5

(a) Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working.

(2)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In June 2023, the Vice-President of Ghana, Dr Mahamudu Bawumia, agreed to the building of a 31.2 km highway costing $50m. The construction is part of a 67 km highway that would link central areas of Ghana to the northern regions and neighbouring countries.

(b) With reference to the data above and your knowledge of economics, analyse how spending on road infrastructure could benefit a country such as Ghana.

(6)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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Cocoa is a major ingredient in the manufacture of chocolate products. Ghana is the world's second-largest producer of cocoa, which accounts for 3.5% of gross domestic product (GDP).

Almost all the cocoa is exported, generating more than $2bn annually through foreign exchange. Many people are employed directly in the production of cocoa, with most cocoa grown on small farms.

Oxfam said that 90% of cocoa farmers in Ghana do not earn enough income and cannot afford enough food or other basics such as clothing, housing and medical care. Many of the 867,000 farmers in the country survive on just $2 a day.

Meanwhile, the world's four biggest chocolate producers are enjoying large profits. Hershey, Lindt, Mondelēz and Nestlé have seen their profits increase by 16% in recent years as demand for chocolate products has risen.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits of globalisation for cocoa farmers in Ghana.

(12)

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Turn over

8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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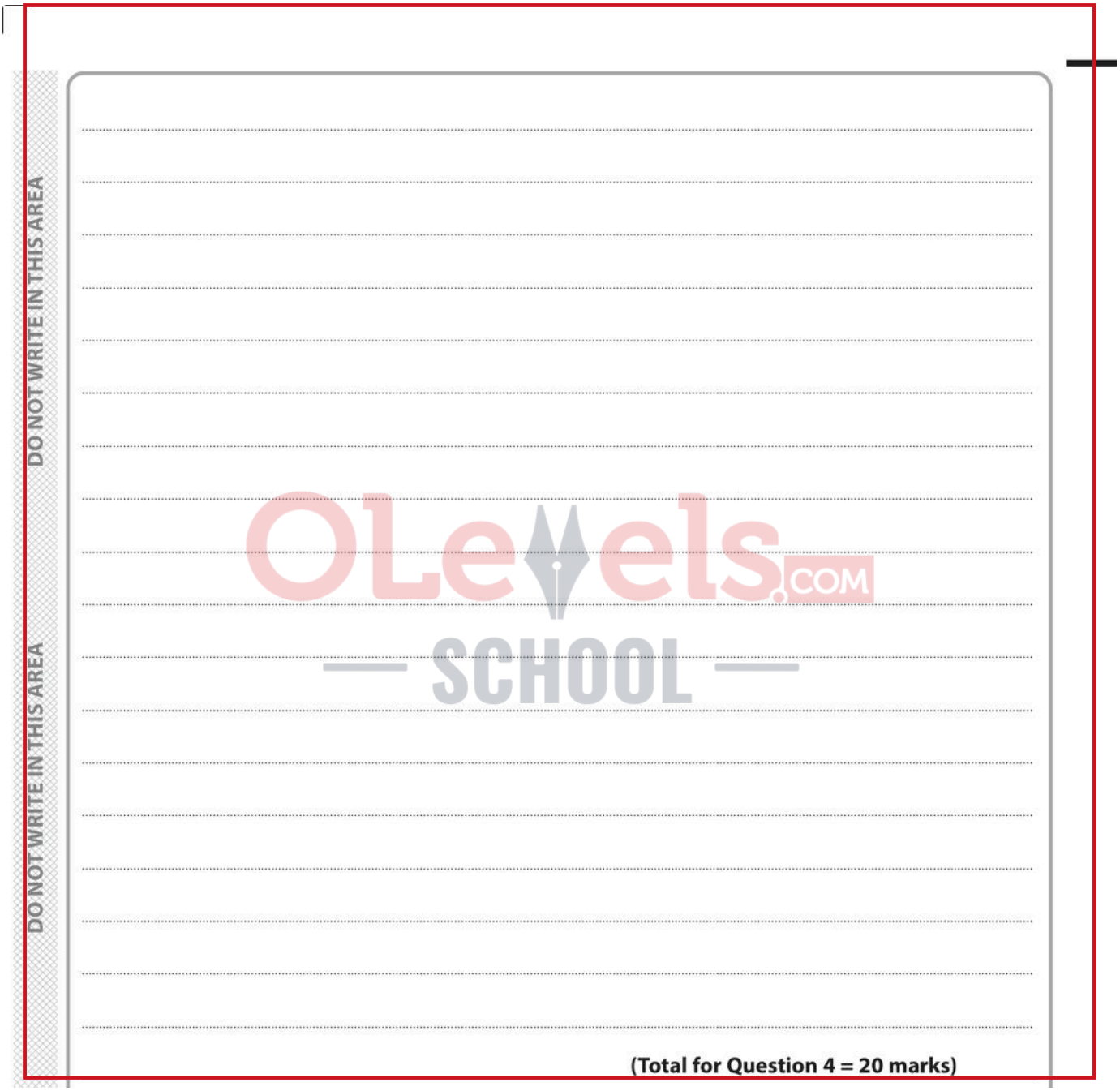
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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



8. Question 4 · part c · 12 marks · Working and answer

Working and answer

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